TECHNICAL BRIEFING

# Tax Planning for UK SMEs: Timing, Reliefs and the Decisions That Matter

*A briefing for owner-managed and family-owned businesses*

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## Executive summary

Good tax planning for a UK SME is rarely about clever structuring. In practice it is about getting the timing right on decisions the business would be making anyway: when to invest in equipment, when to invest in research and development, how and when directors take money out of the company, when to declare a dividend, and when to start thinking seriously about succession.

Two Budgets in the last two years, together with reforms already legislated for 2026, have moved most of the dials that owner-managed businesses rely on. Capital allowances, R&D relief, the tax charge on overdrawn director's loan accounts, dividend tax rates, employee share schemes, Business Asset Disposal Relief and Business Property Relief have all changed. Several changed twice.

> **Almost every planning point in this briefing is a timing point. Very few of them reduce the total tax paid over the life of the business; most of them change when it is paid, and what it costs in cash along the way.**

That distinction matters. Full expensing, for example, is a timing difference rather than a permanent saving — it accelerates relief that would otherwise arrive over several years, and it is clawed back on disposal. The value is in the cash flow and in the rate at which relief is obtained, not in the headline percentage. The same is true of loss relief, instalment payments and most extraction planning.

This briefing sets out the current position in each area, confirmed against HMRC guidance and manuals and named professional sources as at September 2026, with the timing decisions that follow. It is general information rather than personalised advice — see the scope note at the end.

## At a glance: rates and thresholds

| Area | Position at September 2026 | Change point |
|---|---|---|
| **Annual Investment Allowance** | £1m p.a., permanent, all business structures, new and second-hand assets | No change |
| **Full expensing** | 100% FYA, companies only, new and unused main-pool plant & machinery, uncapped | Permanent from 1 April 2023 |
| **50% first-year allowance** | 50% FYA on new special rate expenditure | Permanent from 1 April 2023 |
| **New 40% first-year allowance** | 40% FYA for qualifying main-rate P&M not otherwise relieved | From 1 January 2026 |
| **Main pool writing-down allowance** | Reduced from 18% to 14% | From 1 April 2026 |
| **Structures & Buildings Allowance** | 3% straight line over 33⅓ years, non-residential | 3% rate since April 2020 |
| **Zero-emission cars** | 100% FYA on new and unused cars and charge points | Extended to 31 March 2027 (CT) |
| **Electric company car BIK** | 4% of P11D value | Rising: 5% (27/28), 7% (28/29), 9% (29/30) |

| Area | Position at September 2026 | Change point |
|---|---|---|
| **R&D merged scheme** | 20% above-the-line credit (c.14.7p–16.2p net per £1) | Periods beginning on/after 1 April 2024 |
| **R&D ERIS (loss-making, R&D-intensive SMEs)** | 14.5% payable credit; 86% uplift; 30% intensity threshold | Periods beginning on/after 1 April 2024 |
| **Patent Box** | 10% effective corporation tax rate on qualifying patent profits | No change |
| **Section 455 (overdrawn DLA)** | 35.75%, up from 33.75% | Loans outstanding from 6 April 2026 |
| **Official rate of interest (beneficial loans)** | 3.75% | From 6 April 2025, reviewed quarterly |
| **Dividend tax (basic / higher / additional)** | 10.75% / 35.75% / 39.35% | From 6 April 2026 |
| **Corporation tax** | 19% ≤£50k; marginal relief to £250k (26.5% effective); 25% above | Unchanged |
| **Quarterly instalment payments** | "Large" above £1.5m profits; "very large" above £20m | Thresholds divided by associated companies |
| **Carried-forward loss restriction** | £5m deductions allowance, then 50% of remaining profits | Since 1 April 2017 |
| **VAT registration threshold** | £90,000 rolling 12-month turnover; £88,000 deregistration | Unchanged since April 2024 |
| **Employer NIC / secondary threshold** | 15% / £5,000 | From April 2025 |
| **Employment Allowance** | £10,500; £100,000 eligibility cap removed | From April 2025 |
| **EMI share options** | £6m company limit, 500 FTE, £120m gross assets, 15-year exercise | From 6 April 2026 |
| **BADR / Investors' Relief** | 18%, up from 14%; £1m lifetime limit | From 6 April 2026 |
| **Standard CGT rates (non-property)** | 18% basic band / 24% above | Since 30 October 2024 |
| **Pension annual allowance** | £60,000, tapered to £10,000 above £260,000 adjusted income | Unchanged 2025/26 and 2026/27 |
| **BPR / APR 100% relief cap** | £2.5m combined, transferable between spouses; 50% above cap | From 6 April 2026 |

*Confirmed against HMRC (gov.uk) and professional sources as at September 2026. Figures marked from 6 April 2026 reflect the Autumn Budget of 26 November 2025, the announcement of 23 December 2025 on Business Property Relief, or the Finance Act 2026.*

# 1. Timing capital expenditure

### *The three routes to 100% relief*

The Annual Investment Allowance gives 100% first-year relief on qualifying plant and machinery up to £1 million a year. It is available to companies, sole traders and most partnerships, covers both new and second-hand assets, and was made a permanent feature of the tax code alongside full expensing.

Full expensing gives companies — not unincorporated businesses — a 100% first-year deduction on new and unused main-pool plant and machinery, with no upper limit. It was made permanent from 1 April 2023 at the Autumn Statement of that year. It does not extend to assets bought for leasing, does not cover cars, and second-hand assets do not qualify. A 50% first-year allowance covers new special rate expenditure.

Because the two run alongside each other, a company can in principle obtain 100% relief on up to £1 million of second-hand or special-rate expenditure through AIA while using uncapped full expensing for new main-pool assets. Sequencing the claims matters: AIA is usually best pointed at expenditure that would otherwise attract only the special rate, since full expensing cannot reach it at 100%.

### *Two changes that alter the timing calculus*

- From 1 January 2026, a new 40% first-year allowance applies to qualifying main-rate plant and machinery not covered by AIA or full expensing.
- From 1 April 2026, the main pool writing-down allowance falls from 18% to 14% a year. Expenditure left in the general pool is now relieved materially more slowly, and the reduction compounds — an asset in the main pool takes roughly a quarter longer to write down than it did before.

For an accounting period straddling 1 April 2026, the writing-down allowance is calculated on a blended basis, apportioned across the period by reference to the days falling either side of the change.

### *The disposal trap*

Full expensing carries a clawback that AIA does not. Where 100% first-year allowance has been claimed on an asset, the disposal proceeds are brought in as an immediate balancing charge under CAA 2001 s59A, rather than simply reducing the pool. The balancing charge is a standalone taxable amount equal to the disposal value where the allowance was claimed on the whole cost; where it was claimed on part, a proportion applies and the remainder is deducted from the pool in the normal way. For assets on which the 50% first-year allowance was claimed, half the disposal value is a balancing charge.

The practical consequence: for an asset the business expects to sell on within a few years while it still holds most of its value, claiming writing-down allowances or AIA instead of full expensing may leave the company better off, because full expensing front-loads relief that is then clawed back in full. It also makes a properly maintained fixed asset register — recording cost, purchase date and which allowance was claimed — a compliance necessity rather than good housekeeping.

### *Buildings and vehicles*

Expenditure on constructing, renovating or converting non-residential buildings and structures falls outside the plant and machinery regime and attracts the Structures and Buildings Allowance instead: 3% a year on a straight-line basis over 33⅓ years, on contracts entered into on or after 29 October 2018. There is no first-year relief and no acceleration available, so the timing decision is simply when the building is brought into use. An allowance statement is a statutory requirement for the claim, and a buyer of a used structure must obtain a copy from the previous owner before claiming.

Where a building project is undertaken, it is worth having the expenditure analysed between the structure itself and the plant and machinery embedded within it — heating, lighting, ventilation, sanitary ware and similar. The plant element can access AIA or full expensing at 100%, while the structure is relieved at 3% a year. The split is often worth several times the cost of the exercise.

Cars are excluded from both AIA and full expensing, with one exception: new and unused zero-emission cars qualify for a 100% first-year allowance, as does expenditure on electric vehicle charge points. That relief has been extended and now runs to 31 March 2027 for corporation tax purposes and 5 April 2027 for income tax. Used electric cars do not qualify and go into the main pool, now relieved at 14%. The benefit-in-kind position is correspondingly favourable: the appropriate percentage for a fully electric company car is 4% for 2026/27, rising to 5% in 2027/28, 7% in 2028/29 and 9% in 2029/30, against rates approaching 37% for conventional cars. For a director weighing how to fund a car, the combination of a 100% first-year deduction and a single-figure benefit charge remains one of the more attractive reliefs available.

## 2. Timing research and development expenditure

From 1 April 2024, the separate SME and RDEC schemes were merged into a single R&D Expenditure Credit. It delivers a 20% above-the-line credit, worth roughly 14.7p to 16.2p per £1 of qualifying spend once tax is accounted for, and is available to companies of any size. For loss-making companies, notional tax of 19% is deducted, which is why the net rate lands at 16.2p rather than 20p.

Loss-making SMEs that are R&D-intensive can instead claim under Enhanced R&D Intensive Support. A company qualifies where qualifying R&D expenditure is at least 30% of total expenditure for the period, reduced from a 40% threshold that applied before 1 April 2024. ERIS gives an 86% additional deduction on top of the normal 100% deduction, and allows the resulting loss to be surrendered for a 14.5% payable credit — worth up to around 27p per £1 of qualifying spend. A one-year grace period applies where a company temporarily drops below the 30% intensity threshold having met it in the previous period.

ERIS is not automatically the better answer. The 27p figure assumes sufficient losses to surrender. A company that broke even, or nearly did, has little or no surrenderable loss and may recover less under ERIS than the merged scheme's flat 16.2p would have delivered. Because the outcome turns on both intensity and the profit or loss position for the period, this needs modelling before the year end, not after.

Cash under both schemes is capped at £20,000 plus 300% of the company's relevant PAYE and National Insurance contributions for the period — a constraint that bites hardest on companies whose R&D is delivered largely by subcontractors or directors on low salaries.

Two further points of substance. Overseas R&D costs — subcontracted work and externally provided workers based outside the UK — have been restricted since April 2024, subject to specific exemptions. And under the merged scheme, companies contracting out R&D can include those costs regardless of who the work is contracted to, subject to conditions, with a restriction to 65% of the expenditure where the third party is unconnected. This is a significant widening compared with the old RDEC rules and is often missed.

### *Compliance timing is now as important as the claim*

Companies claiming for the first time, or that have not claimed in the previous three years, must submit an advance notification to HMRC within six months of the end of the relevant accounting period. Miss it and the claim is lost outright, regardless of merit. Every claim also needs an Additional Information Form, naming a senior officer and setting out the projects and cost breakdown, submitted with or before the CT600. HMRC has been running a sustained compliance campaign in this area, and a claim that would once have passed unexamined now needs contemporaneous documentation of the technological uncertainty being resolved.

## 3. Patent Box

Where R&D produces patentable intellectual property, the Patent Box gives an effective 10% corporation tax rate on profits attributable to qualifying UK or certain European patents — against a main rate of 25%. The regime and R&D relief are complementary rather than alternatives: R&D relief reduces the cost of developing the invention, and the Patent Box reduces the tax on the profits once it earns.

The calculation strips out a routine return on certain costs and applies a nexus fraction limiting the benefit to the proportion of the R&D the company performed itself or subcontracted to unconnected parties, with a 30% uplift capped at 100%. Companies that outsource most development to connected parties see a correspondingly smaller benefit. Election into the regime applies from the start of the accounting period in which it is made, which is itself a timing decision worth taking deliberately.

For an SME that files patents and does not claim Patent Box, this is frequently the single largest unclaimed relief on the balance sheet.

## 4. Timing director's loans and repayments

Section 455 of the Corporation Tax Act 2010 charges tax on a close company where a loan to a participator — typically a director or shareholder — remains outstanding nine months and one day after the end of the accounting period. The rate tracks the higher rate of dividend tax: 33.75% for loans outstanding up to 5 April 2026, rising to 35.75% from 6 April 2026 following the dividend rate increase announced on 26 November 2025.

The charge is repayable once the underlying loan is repaid, written off or released, but not quickly. The claim cannot be made until nine months after the end of the accounting period in which the repayment falls, and the repayment itself arrives nine months and one day after that period end. Claims must be made within four years of the end of the period in which the loan was cleared. An overdrawn loan left too close to the deadline can therefore tie up company cash for a very long time even where it is eventually repaid in full, and the interest charged on the section 455 liability is not recoverable.

HMRC's anti-avoidance rules mean this cannot simply be timed around. A repayment of £5,000 or more followed by a new advance within 30 days is disregarded, and a broader arrangements rule can catch repayments that were always intended to be followed by redrawing. A properly accrued and paid bonus, by contrast, is a payment of earnings and can be used to clear a loan account without falling foul of those rules.

A separate charge arises where the loan balance exceeds £10,000 at any point in the tax year. If interest is charged below HMRC's official rate — 3.75% from 6 April 2025, reviewed quarterly — the shortfall is a taxable benefit in kind: income tax for the director, and Class 1A National Insurance at 15% for the company, reported on form P11D. Charging interest at or above the official rate removes this exposure entirely, though it has no bearing on the separate section 455 position. The two regimes have different triggers and it is possible to have both on the same loan account.

> **The most common and most expensive error in this area is treating the director's loan account as a year-end problem. By the time the accounts are being prepared, the options have already narrowed.**

## 5. Timing profit extraction: salary, bonuses, dividends and pensions

### *Dividends*

From 6 April 2026, the basic rate of dividend tax rose from 8.75% to 10.75% and the higher rate from 33.75% to 35.75%. The additional rate is unchanged at 39.35%, and the £500 dividend allowance is unchanged. The personal allowance (£12,570), higher rate threshold (£50,270) and additional rate threshold (£125,140) remain frozen until April 2031, so fiscal drag will continue to push more dividend income into higher bands without any further rate change.

Because the section 455 rate and the dividend higher rate move together, the same measure that increased the cost of dividends also increased the cost of leaving a loan account overdrawn.

### *Bonuses and the nine-month rule*

Remuneration accrued at a period end is only deductible in that period if it is actually paid within nine months of the period end, under CTA 2009 s1288. If it is paid later, the deduction moves to the period of payment. HMRC's guidance goes further: where the tax computation is prepared before the nine months have expired and the remuneration is still unpaid, it must be added back on the assumption it will not be paid in time, and the return amended later if it is.

This rule catches more than director bonuses. It applies to holiday pay accruals and to global bonus pools where the allocation to individuals has not been settled at the accounting date. Separately, PAYE on a director's bonus operates on the earliest of several dates — actual payment, the date entitlement arises, the date it is credited in the company's records, or the period end where the amount is already known — so the PAYE period and the corporation tax deduction period can easily fall in different years if the mechanics are not thought through in advance.

The practical discipline is straightforward: hold a board meeting before the year end recording the bonus, accrue it in the accounts, and pay it within nine months.

### *Pensions*

Employer pension contributions remain one of the more durable reliefs available. They are deductible for corporation tax subject to the wholly-and-exclusively test, and fall outside employer National Insurance entirely, unlike salary or bonus. The standard annual allowance is £60,000 for both 2025/26 and 2026/27, tapered by £1 for every £2 of adjusted income above £260,000 to a £10,000 floor, subject to a £200,000 threshold-income gateway below which the taper does not apply at all. Unused allowance from the previous three tax years can be carried forward where the individual was a scheme member in those years.

The timing rule here is stricter than for most expenses and is regularly missed. Under FA 2004 s196, relief is available only for contributions actually paid in the period of account, with cleared funds. An accrual in the accounts is not sufficient, and the contribution cannot be carried back or forward to another period. A contribution intended to reduce a particular year's taxable profit must physically leave the company's bank account before the year end.

A second constraint applies to large one-off contributions. Where contributions paid in a period exceed 210% of those paid in the previous period, HMRC's spreading rules can require relief on the excess to be spread forward over up to four periods rather than taken in full. A company planning a substantial catch-up contribution should model this before committing, since the cash leaves in one year while the relief may not.

From 6 April 2029, National Insurance relief on salary-sacrificed pension contributions will be capped at the first £2,000 sacrificed each year, with employer and employee NIC applying above that. This was announced at the Autumn Budget 2025 and is not yet in effect, so salary sacrifice remains fully NIC-efficient for now — but arrangements set up on a long horizon should be modelled against the change.

## 6. Corporation tax rates, thresholds and payment timing

### *The marginal relief band*

Corporation tax rates were left unchanged at the Autumn Budget 2025: 19% on profits up to £50,000, 25% above £250,000, and marginal relief in between. Within that band the effective marginal rate on each additional pound of profit is 26.5% — higher than the main rate itself, because relief is withdrawn as profits rise.

A company expecting profits inside the band gets more value from each pound of deductible expenditure than a company above £250,000 does. Bringing forward capital allowances, pension contributions or R&D spend into a marginal relief year is worth 26.5p in the pound rather than 25p. Conversely, deferring income or accelerating expenditure to drop below £50,000 saves at the 19% rate on everything below that point.

### *Associated companies*

The £50,000 and £250,000 limits are divided by the number of associated companies plus one. Two associated companies reduce them to £25,000 and £125,000; three reduce them further still. The same division applies to the quarterly instalment payment thresholds and, in group cases, to the £5 million loss deductions allowance.

The associated companies test replaced the older 51% group test from 1 April 2023 and is broader — it turns on common control rather than shareholding percentages, and can pull in companies owned by the same individual or connected persons even where there is no group relationship. Dormant companies are generally excluded. Many owner-managed structures accumulated companies over the years without anyone revisiting the consequences, and a single forgotten trading company can halve the thresholds for everything else. This is worth confirming rather than assuming.

### *Payment timing and instalments*

Most SMEs pay corporation tax nine months and one day after the accounting period end. A company becomes "large" and must pay by quarterly instalments where augmented profits exceed £1.5 million, and "very large" above £20 million — both thresholds divided by the number of associated companies plus one, so a company in a group of four is caught at £375,000.

There is a year of grace on first breaching the £1.5 million threshold, provided profits do not exceed £10 million, but no equivalent grace for the very large regime. Companies with a liability under £10,000 are outside the regime entirely.

The cash flow consequence of crossing into instalments is severe and frequently underestimated. For a standard 12-month period, large-company instalments fall in months 7, 10, 13 and 16 from the start of the period; very large companies pay in months 3, 6, 9 and 12, entirely within the year being taxed. In the transition year a company can face the previous year's lump sum and an instalment for the current year within weeks of each other. A growing business approaching £1.5 million of profit should be modelling this well before it arrives.

## 7. Losses and their timing

A trading loss can be set against total profits of the same accounting period, carried back 12 months against total profits, or carried forward indefinitely. Terminal losses arising in the final 12 months of trading can be carried back three years. Losses are not applied automatically — a claim must be made, and for carry-back the deadline is two years from the end of the loss-making period.

Where a loss is carried back to a period in which tax has already been paid, HMRC repays it, which can make a carry-back claim one of the faster routes to cash for a business that has moved from profit to loss.

For losses arising from 1 April 2017, carried-forward losses can be set against total profits rather than only profits of the same trade, subject to a restriction: a £5 million deductions allowance per company or group, above which only 50% of remaining profits can be relieved by carried-forward losses. The £5 million threshold means the restriction rarely bites on an SME, but a compliance obligation applies regardless of size — the company tax return must specify the deductions allowance it is entitled to, and failure to do so restricts relief to 50% of profits even where the losses are far below the threshold.

Pre-April 2017 losses are less flexible: they can only be carried forward against profits of the same trade, and are used automatically against the first available profits of that trade, with no choice over timing or amount. If the trade ceases, they are effectively lost. Where a group is being reorganised or a trade transferred, the treatment of accumulated losses should be checked before the structure is settled rather than after.

The timing question with losses is one of rate arbitrage. A loss relieved against profits taxed at 26.5% in the marginal band is worth more than the same loss relieved at 19%. Where there is a genuine choice between current-year relief, carry-back and carry-forward, the rate applying in each period — not just the speed of the cash — should drive the claim.

## 8. VAT registration timing

The VAT registration threshold is £90,000 of taxable turnover, unchanged since it rose from £85,000 on 1 April 2024. Two tests apply: a backward-looking test on a rolling 12-month basis, checked at the end of each month, and a forward-looking test where the business expects to exceed the threshold in the next 30 days alone. The deregistration threshold is £88,000.

The rolling test is the one that catches businesses out, because it resets monthly rather than annually. Where the trailing 12 months exceed £90,000 at a month end, HMRC must be notified within 30 days of that month end, and registration takes effect from the first day of the second month afterwards.

Businesses approaching the threshold should model the timing of large invoices or contracts against the rolling test. Voluntary early registration can be worth considering where the customer base is predominantly VAT-registered and there is significant input VAT to recover on planned capital purchases — in that situation registering ahead of a major equipment purchase recovers VAT that would otherwise be lost. Where the customer base is consumers, the calculation usually runs the other way.

## 9. Employment costs

The employer National Insurance rate rose from 13.8% to 15% and the secondary threshold fell from £9,100 to £5,000, both from April 2025, increasing the cost of every employee and every pay rise. Against that, the Employment Allowance doubled to £10,500 and the previous £100,000 employer NIC eligibility cap was removed, so most SMEs can now claim it in full. Single-director companies with no other employees remain excluded.

The allowance is not applied automatically and must be claimed each year through payroll software. It is worth confirming this has actually happened rather than assuming it.

At a 15% employer rate, arrangements that reduce gross salary carry proportionally more value than they used to. Pension salary sacrifice saves £150 per £1,000 sacrificed in employer NIC alone, before employee income tax and NIC savings, and electric vehicle and cycle-to-work schemes operate on the same principle.

## 10. Employee incentives: EMI options

Enterprise Management Incentive options remain the most tax-efficient way for a qualifying SME to give key employees a stake without an immediate tax cost. There is no income tax or National Insurance on grant, and normally none on exercise where the option was granted at market value. The gain is taxed as a capital gain on eventual sale, and where the option has been held for at least two years from grant the employee should qualify for Business Asset Disposal Relief at 18% on the first £1 million of lifetime gains — without needing the 5% shareholding that ordinary shares would require. The company may also obtain a corporation tax deduction in the period of exercise.

From 6 April 2026 the regime was widened substantially, as announced at the Autumn Budget 2025:

- The employee limit rose from fewer than 250 full-time equivalent employees to fewer than 500.
- The gross assets limit rose from £30 million to £120 million.
- The company-wide limit on unexercised options rose from £3 million to £6 million.
- The maximum exercise period extended from 10 years to 15, applying to existing as well as new options, though documentation will usually need amending to take advantage of it.

The individual limit is unchanged at £250,000 of unrestricted market value at grant, counting any Company Share Option Plan options towards the same limit. Companies previously outside the regime on size grounds — and those that had exhausted the old £3 million ceiling — should reconsider whether EMI is now open to them. The share valuation can be agreed with HMRC in advance of grant, which removes most of the uncertainty from the exercise.

## 11. Timing an exit: capital gains and Business Asset Disposal Relief

The standard rates of Capital Gains Tax on non-residential-property gains have been 18% within the basic rate band and 24% above it since 30 October 2024. The annual exempt amount is £3,000.

Business Asset Disposal Relief gives a reduced rate on qualifying disposals subject to a £1 million lifetime limit, and has moved three times in two years: 10% for disposals up to 5 April 2025, 14% between 6 April 2025 and 5 April 2026, and 18% from 6 April 2026. Investors' Relief was aligned to the same lifetime limit and rate schedule.

On a £1 million qualifying gain the tax cost is now £80,000 higher than before the October 2024 Budget, purely from rate changes.

Where a disposal was made under an unconditional contract entered into before 6 April 2026, the earlier rate can still apply, but only where the contract is an "excluded contract" — broadly, not created to obtain a timing advantage, and for wholly commercial reasons where the parties are connected. A claim to HMRC is required, subject to a de minimis where total gains on such contracts do not exceed £100,000. Signing a contract before the deadline does not by itself guarantee the lower rate.

BADR requires a two-year qualifying period in each case, which is the point most often overlooked when an approach arrives unexpectedly. Share reorganisations, the introduction of a holding company, changes to share classes or the admission of a new shareholder can all disturb the qualifying conditions and restart clocks. Where an exit is contemplated on any horizon, the eligibility position should be confirmed early — while there is still time to fix it.

## 12. Succession: Business Property Relief

From 6 April 2026, 100% relief under Business Property Relief and Agricultural Property Relief is capped at a combined £2.5 million per individual. Qualifying business and agricultural property above that attracts 50% relief only, an effective inheritance tax rate of 20% on the excess.

The path to that figure matters, because a good deal of commentary still quotes the original number. The cap was announced at £1 million at the Autumn Budget 2024; the government increased it to £2.5 million on 23 December 2025 following representations from the farming and business communities; and it became law when the Finance Act 2026 received Royal Assent. HMRC's estimate of the number of estates affected fell from around 2,000 to roughly 1,100 as a result.

The allowance is transferable between spouses and civil partners, confirmed at the Autumn Budget 2025 and carried across to the higher figure, and refreshes every seven years for individuals and every ten years for trusts. A married couple can therefore shelter up to £5 million of qualifying property, and with the transferable nil-rate bands on top the total is higher still.

Two traps deserve attention. Anti-forestalling rules mean lifetime gifts made on or after 30 October 2024 are brought into the new regime if the donor dies on or after 6 April 2026 within the normal seven-year period. And where an individual settles property into more than one trust on or after 30 October 2024, a single allowance is shared between them under anti-fragmentation rules rather than one allowance applying per trust.

Relief depends on the business being wholly or mainly trading, and on a two-year ownership period. Businesses that have accumulated significant investment assets — surplus cash, let property, investment portfolios held in the trading company — risk failing or diluting that test. Where business value exceeds £2.5 million, the ownership structure, the trading status and the split of shares between family members are all worth confirming now.

## 13. Compliance timing

Several of the reliefs above are lost through missed deadlines rather than through failing the substantive conditions. The dates that most often cause problems:

| Timing | What it governs |
|---|---|
| **9 months + 1 day after period end** | Corporation tax due for companies outside the instalment regime. Also the section 455 trigger date for an overdrawn director's loan account. |
| **9 months after period end** | Deadline for paying accrued remuneration and bonuses if the deduction is to be taken in the period accrued (CTA 2009 s1288). |

| Timing | What it governs |
|---|---|
| **6 months after period end** | R&D advance notification deadline for first-time claimants, or those that have not claimed in the previous three years. |
| **12 months after filing deadline** | Normal window to amend a company tax return, including to make or revise a capital allowances or loss claim. |
| **2 years after period end** | Deadline for a trading loss carry-back claim. |
| **Before period end** | Employer pension contributions must be paid, with cleared funds — an accrual is not enough (FA 2004 s196). |
| **6 July following tax year end** | P11D and P11D(b) filing deadline for benefits in kind, including beneficial loan interest. |
| **Rolling, monthly** | VAT registration test — check the trailing 12-month taxable turnover against £90,000 at each month end. |

Making Tax Digital for Income Tax began on 6 April 2026 for sole traders and landlords with qualifying income over £50,000, based on their 2024/25 return. The threshold falls to £30,000 from April 2027 and £20,000 from April 2028. Those in scope must keep digital records and submit four quarterly updates plus a final declaration through compatible software. Qualifying income is measured on gross self-employment and property income combined, before expenses; employment and pension income do not count towards it. Limited companies and general partnerships are outside the regime for now.

## Practical checklist

1. Map planned capital expenditure against the accounting period end, the £1m AIA limit and the reduced 14% writing-down allowance, and check whether any asset likely to be sold on soon would be better outside full expensing.
2. Confirm the fixed asset register records cost, date and which allowance was claimed, so balancing charges on disposal can be calculated correctly.
3. On any building project, have the expenditure analysed between structure and embedded plant before the accounts are finalised.
4. Model whether the merged R&D scheme or ERIS gives the better cash outcome, based on likely profit or loss for the period, and diarise the six-month advance notification deadline if this is a first claim.
5. If the business holds or is filing patents, assess whether a Patent Box election is worth making.
6. Review director's loan account balances now against the nine-month deadline, and check whether interest at the official rate needs charging to remove the benefit-in-kind charge.
7. Record any year-end bonus formally before the period end and pay it within nine months; pay employer pension contributions in cleared funds before the year end, and check the 210% spreading test on any large one-off contribution.
8. Count the associated companies and confirm the corporation tax, instalment and loss allowance thresholds that actually apply.
9. If profits are approaching £1.5 million, model the cash flow impact of entering the quarterly instalment regime before it happens.
10. Where losses exist, choose between current-year, carry-back and carry-forward relief by reference to the tax rate in each period, and make sure the deductions allowance is specified on the return.
11. Confirm the Employment Allowance is being claimed through payroll software.
12. Reassess whether EMI is now available under the widened April 2026 limits.

13. If a sale is on any horizon, confirm the BADR qualifying conditions are met and have been met for two years, before any reorganisation disturbs them.
14. Where combined business and agricultural assets exceed £2.5 million, review ownership structure, trading status and succession plans.

## Scope of this briefing

This briefing covers the areas most commonly relevant to owner-managed UK trading companies. It does not address: employee ownership trusts; group reorganisations, demergers and the substantial shareholding exemption; off-payroll working and employment status; VAT schemes, partial exemption and the construction industry reverse charge; property taxes including SDLT; international and transfer pricing matters; or the detailed conditions of EIS, SEIS and VCT investment. Each of these can materially change the analysis for a particular business and warrants specific advice.

## A note on this briefing

*This briefing is provided for general information only. It reflects UK tax rules and rates confirmed against HMRC guidance and manuals and named professional sources as at September 2026. UK tax legislation changes frequently, several of the measures described here have already changed more than once, and individual circumstances vary considerably. It is not personalised tax, legal or financial advice and should not be relied upon as a substitute for advice tailored to a specific company or individual. Themis Professional Services is not a firm of chartered accountants or tax advisers; where a specific tax position needs to be confirmed we work alongside a client's existing accountant or tax adviser, or can help identify one.*

## Sources

*HMRC and gov.uk: Claim capital allowances; Capital allowances — new first-year allowance and reducing main rate writing-down allowances; Disposing of an asset if you claimed full expensing or 50% first year allowance; Business Income Manual BIM47130–47140 (timing of deductions for remuneration); Company Taxation Manual CTM05010–05230 (carried-forward loss restriction) and CTM08345; Pensions Tax Manual PTM043200 and PTM043400; Employee Tax Advantaged Share Scheme User Manual ETASSUM51020; Find out if and when you need to use Making Tax Digital for Income Tax.*

*Professional sources: Deloitte, KPMG, ICAEW, ICAS, Saffery, Travers Smith, Pinsent Masons, Slaughter and May, BDO, Brodies LLP, Crowe UK, Price Bailey, Gravita, Cooper Parry, Forrest Brown and the House of Commons Library — covering the Autumn Budget 2025, the 23 December 2025 announcement on Business Property Relief and Agricultural Property Relief, the merged R&D scheme and ERIS, section 455 and the official rate of interest, EMI reform, Patent Box, Structures and Buildings Allowance, quarterly instalment payments and Business Asset Disposal Relief. Figures cross-checked across at least two independent sources where available.*